

Swing Trading Playbook

A structured workflow combining the VCP screener (base & breakout setups) with the Strong-Start RVOL dashboard (participation & momentum) to find, size, and manage swing trades on Indian equities.

Timeframe: Swing trades held from 2 days up to 6–8 weeks, planned on the daily chart.

Universe: NSE / BSE equities (from the app's built-in universes).

Tools used: VCP Screener tab and RVOL Screener tab of this dashboard.

***Disclaimer.** This document is educational material summarising well-known swing-trading conventions (Minervini/O'Neil-style VCP, Wyckoff volume analysis, and the Strong-Start concept popularised by Manas Arora). It is not personalised investment advice. Markets involve substantial risk; you are solely responsible for your trades. Back-test rules on your own history before risking real capital.*

1. The Big Picture

You are hunting for stocks that (a) have already proven demand exists — a rising trend and a tightening base — and (b) are showing fresh institutional participation right now, via unusually heavy volume and a Strong Start.

The playbook has four phases:

- **Scan** — narrow the universe using VCP + RVOL filters.
- **Qualify** — apply the 8-point checklist to every candidate.
- **Enter** — buy at the breakout with pre-defined risk.
- **Manage** — trail the stop, hit the target, or cut the loss.

You should be in cash by default. Only when a candidate ticks every box do you take a position. Time in the market matters less than *quality of setups you took*.

2. What the Two Screeners Tell You

2.1 VCP Screener

The VCP (Volatility Contraction Pattern) screener finds stocks in a healthy uptrend that are digesting recent gains through progressively tighter pullbacks. Each stock is scored 0–100 across trend, base, and volatility checks and graded A+ down to Rejected.

Use it to answer: **Is the base of this stock structurally ready to break out?**

2.2 RVOL Screener (Strong-Start Dashboard)

RVOL measures *today's* volume against the 20-day average. A ratio ≥ 1.5 means unusual participation. The Strong-Start (★) flag fires when the stock opens above the previous close and holds $\geq 99.5\%$ of it — a footprint of buyers refusing to give back the gap.

Use it to answer: **Are institutions actually acting on that base today?**

2.3 Why combine them

VCP alone can leave you buying setups that never trigger. RVOL alone can chase newsy spikes with no base. Together, VCP tells you *where* a real move is likely, and RVOL tells you *when* the move is

starting.

3. Daily Workflow

Run this routine once per day, ideally after 10:30 AM IST when the opening auction dust settles. It should take 15–25 minutes end-to-end.

Step	What to do
1. RVOL scan	Run RVOL Screener on All Stocks. Sort by RVOL (highest). Note the top
2. Strong-Start filter	Toggle Only ★ rows. Narrows to stocks that opened up and held. Usually 5
3. VCP cross-check	Switch to VCP Screener, universe = Nifty 200 (or Total Market if you have time).
4. Intersect	Only trade names that appear in both lists. That's your day's shortlist — ty
5. Chart	Open each on a daily chart. Look for a clean base, at least two tightening contractions, pr
6. Log	Note pivot high, planned stop, target, and position size before placing the order.

If the market itself is weak (Nifty below 50-DMA and 20-DMA sloping down), skip the day. Individual setups seldom work in a broken tape — see Section 8.

4. The 8-Point Qualification Checklist

A trade is only taken when ALL eight are ✓. If even one fails, drop the name and move to the next candidate.

Check	Rule
1. Trend	Close > 50-DMA and 50-DMA > 200-DMA. No exceptions.
2. Prior move	Stock has advanced > 25% at some point in the last 12–24 weeks (real uptrend)
3. Base depth	Deepest pullback in the base <= 30% (ideally 15–25%).
4. Contractions	> 2 contractions, each retracement smaller than the previous (e.g. 20% → 12% →
5. Volatility	Volatility Decrease % positive; the latest contraction happens on <i>low</i> volume.
6. Pivot	A clean recent high (the pivot) with 2–5 sessions of tight closes just under it.
7. Breakout day	Today's bar breaks the pivot on RVOL > 1.5 (ideally > 2.0).
8. Strong Start (bonus)	★ flag on the RVOL screener. Not strictly required but strongly preferred.

If you can only find B-grade names, sit out. Boredom is not a signal.

5. Risk & Position Sizing

Everything downstream — entries, targets, exits — only works if position size is correct. Size *from* risk, never from the amount of cash you feel like deploying.

5.1 The two hard limits

- **Per-trade risk:** 0.5% to 1.0% of account equity. Beginners: 0.5%.
- **Portfolio heat:** Never more than 5 open positions or 4% total risk across all open trades combined.
- **Daily loss stop:** If you lose 3% of account equity in a single day, close the terminal for the day.

5.2 The formula

Once you know the entry and the stop, position size is deterministic:

Term	Formula / Example
Capital	\$5,000,000
Risk per trade	0.75% $\rightarrow$ \$3,750
Entry	\$500 (pivot high + 1 tick)
Stop	\$470 (below latest contraction low)
Risk per share	\$500 - \$470 = \$30
Shares	\$3,750 / \$30 = 125 shares
Notional exposure	125 $\times$ \$500 = \$62,500 (12.5% of capital)

If the resulting notional is more than 25% of capital, either accept lower risk (e.g. 0.5%) or skip the trade. Never widen the stop to fit a larger position.

5.3 Reward-to-risk

Only take setups where the initial target offers **at least 2:1 reward-to-risk**. In practice: measure the depth of the largest contraction in the base and project it up from the pivot as your first objective. If that objective is $< 2R$ away, skip.

6. Entry Rules

There are two acceptable entries. Pick one and stick to it — do **not** switch mid-trade.

6.1 A. Breakout entry (default)

- Place a **buy-stop** order at pivot high + 1 tick, valid for the day only.
- It fills only if buyers push through — you're never chasing air.
- Volume on the breakout bar must be $\geq 1.5\times$ the 20-day average (RVOL check).

6.2 B. Pullback entry (advanced)

- After a confirmed breakout you missed, wait for a low-volume pullback that holds at the pivot or 10-DMA, then buy the first up bar.
- Only valid within 5 sessions of the original breakout. Otherwise the setup is stale.

6.3 What to avoid

- **No market orders at the open.** Wait for a 5-minute bar to form.
- **No averaging down.** If it goes against you to the stop, exit — period.

- **No entries in the last hour** unless the intraday range has been tight and the stock is closing at its highs (a valid late-day breakout).

7. Exit Rules

Have all three of the following defined **before** you enter.

7.1 Initial stop

- Place a hard stop-loss below the low of the latest (tightest) contraction, or below the 20-DMA — whichever is closer.
- This stop is **never** widened. It can only be trailed up.

7.2 First target (2R)

- At +2R (two times your risk per share), sell half. Move the stop on the remainder to breakeven — you now have a free trade.

7.3 Trailing the runner

- Trail the remaining half under the swing lows or under the rising 20-DMA.
- Take the stock off on a close below the 20-DMA **or** a distribution day (volume > 1.5× average with the stock finishing red near its low).

7.4 Full-stop exit

- If your stop is hit, exit the entire position. Do not journal 'wait a bit', do not toggle to a lower timeframe. The rule was made for this moment.

7.5 Time stop

- If the stock has not made a new high within 5 sessions of your entry, exit at the market on session 6. Dead money is opportunity cost.

8. Market Regime Filter

Even perfect individual setups fail in a broken tape. Before you take any trade, check the state of the Nifty 50 daily chart.

State	Action
Nifty > 50-DMA > 200-DMA, 50-DMA rising	Trade the playbook as written.
Nifty > 50-DMA but 50-DMA flat	Half size. Only A+ / A Watchlist grades.
Nifty < 50-DMA	No new longs. Manage open trades tighter (0.5R below cost as the new stop).
Nifty < 200-DMA	Fully cash. Optionally look for short setups (out of scope for this playbook).

Your job during hostile regimes is not to make money but to lose *nothing*. Sitting in cash is a position.

9. Two Worked Examples

9.1 A textbook winner

Setup: A midcap stock has run from ■ 300 to ■ 500 over 6 months. It then builds a 9-week base with three tightening pullbacks of 20%, 12%, and 6%. Pivot forms at ■ 505. On the breakout day the stock opens at ■ 508, holds ■ 505 all day, closes at ■ 516 on RVOL 3.4x with the ★ flag on.

- VCP score: 82, Grade: A+ Confirmed. Checklist: 8/8.
- Entry: buy-stop at ■ 506. Stop: ■ 478 (below 12% contraction low).
- Risk per share: ■ 28. On ■ 5L capital @ 0.75%: 134 shares.
- First target (2R): ■ 562. Trailing stop on the rest under 20-DMA.
- **Outcome sketch:** Sold half at ■ 562 in 8 sessions. Trailed the runner up to ■ 618 over the next 5 weeks. Blended R multiple: ~3.2R.

9.2 A textbook rejection

Setup: A smallcap stock is up 90% in 6 weeks (parabolic). It shows RVOL 8x today with a ★, but the "base" is only 4 days old and there is no prior consolidation. VCP grade: Rejected.

- Even though RVOL screams, the base structure is missing (Check #3 & #4 fail).
- **Action:** pass. Add to a watchlist to re-check in 3–6 weeks after a real base forms.

The dashboard will surface this stock repeatedly on the RVOL side. Discipline here is what separates a swing trader from a chaser.

10. Journaling & Review

Every trade must be logged with the numbers you decided in advance. Screenshots optional; the data columns below are not.

Column	What to record
Date, Symbol	Entry date and ticker.
Setup	"VCP breakout" or "pullback re-entry".
VCP grade / score	From the screener at the moment of entry.
RVOL / ★	Today's RVOL ratio, and whether Strong Start fired.
Entry, Stop, 2R target	The three numbers you pre-committed to.
Shares, ₹ risked	So R multiples can be computed later.
Exit, Exit reason	"Stop hit", "2R", "20-DMA loss", "time stop".
R multiple	(Exit − Entry) ÷ (Entry − Stop) for longs.
Notes	Any deviation from the plan (this is where you learn).

Do a **weekly** review (Sunday, 30 minutes). Two questions only:

- Did I follow my rules on every trade this week? Where did I deviate?

- Of the setups I rejected, how did they play out? Was my filter too tight or too loose?

The system improves by *tightening the rules based on your journal*, not by adding new indicators.

11. Glossary

Term	Meaning
VCP	Volatility Contraction Pattern — a base with progressively tighter pullbacks on decreasing volume.
Pivot	The most recent significant high inside the base, from which a breakout is measured.
Base	A sideways or gently declining consolidation after an uptrend, typically 4–20 weeks.
Contraction	A single pullback within the base measured from a swing high to the next swing low.
RVOL	Relative Volume — today's volume divided by the average volume of the last N days.
Strong Start	Today's open $>$ previous close, and today's low $\geq$ previous close $\times$ 0.995. Buy signal.
50-DMA / 200-DMA	50-day and 200-day simple moving averages of closing price.
R	Unit of risk. $1R = (\text{entry} - \text{stop}) \times \text{shares}$. A +2R trade returned twice the amount risked.
Distribution day	A session where a major index closes down $>$ 0.2% on higher volume than the previous session.
Portfolio heat	Sum of open risk across all live positions. Cap at 4–5% of account equity.

End of playbook. This document travels with the dashboard — regenerate at any time via `python3 docs/generate_playbook.py`. Edit the sections in `docs/playbook_sections.py` to make the rules your own; the generator will pick up the changes on the next run.